Marco Bellifemine

m.bellifemine@lse.ac.uk ◇ marcobellifemine.com ◇ +39 331 10 88 006

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DOCTORAL STUDIES

London School of Economics 2023–2027 (expected)

PhD in Economics. Supervisors: Benjamin Moll, Ricardo Reis.

REFERENCES

Benjamin Moll	**Ricardo Reis**	**Jonathon Hazell**
London School of Economics	London School of Economics	London School of Economics
b.moll@lse.ac.uk	r.a.reis@lse.ac.uk	j.hazell@lse.ac.uk

PRIOR EDUCATION

London School of Economics 2021–2023

MRes in Economics. Distinction (*Sir John Hicks Prize for Outstanding Performance in the MRes Economics*)

Bocconi University 2018–2021

MSc in Economics and Social Sciences. 110/110 *cum laude*.

Bocconi University 2015–2018

BSc in Economics and Social Sciences. 110/110 *cum laude*.

RESEARCH FIELDS

Macroeconomics (primary), Finance (secondary)

JOB MARKET PAPER

Can't Lend or Won't Lend? Beliefs and the Macroeconomics of Financial Crises

with A. Couturier and J. Tozzo

Why do financial crises cause such deep recessions, and what can policy do about them? We distinguish between financial intermediaries' capacity to lend and their willingness to lend in a general-equilibrium model with heterogeneous intermediaries and occasionally binding leverage constraints. Two moments determine whether forward-looking intermediaries with room to lend offset constrained intermediaries' retrenchment and dampen downturns, or cut lending and amplify them: how strongly lending responds to expected returns and how those expectations respond to aggregate shocks. We estimate both using 40 million bank forecasts of borrower default probabilities. First, comparing banks assessing the same borrower at the same time, we show that a 1 p.p. increase in expected portfolio returns raises lending by 12%. Second, expectations overreact to aggregate shocks, leaving banks excessively pessimistic following adverse news. These two moments allow the calibrated model to generate dynamics for aggregate output during crises similar to those of a model driven by balance-sheet constraints alone, but with sharply different policy implications. In a crisis, the marginal intermediary is unconstrained and cuts lending because it expects low returns. Recapitalizations provide limited stimulus, whereas loan guarantees raise expected returns directly and stimulate output four times as much at the same fiscal cost. Our estimates also explain how booms build fragility: optimism raises leverage in booms, so a larger expansion deepens the subsequent recession.

PUBLISHED PAPERS

Monetary Unions with Heterogeneous Fiscal Space

with A. Couturier and R. Jamilov · ***Journal of International Economics***

Coverage: Lecture by G. Giorgetti, Italian Minister of Economy and Finance (2025)

This paper develops a multi-country Heterogeneous-Agent New Keynesian (HANK) model of a monetary union with ex-ante heterogeneity in legacy public debt across member states. We calibrate the model to the euro area and show that, following symmetric aggregate shocks, the systematic monetary policy reaction induces heterogeneous national outcomes, driven by differences in fiscal space. This generates a trade-off between union-wide macroeconomic stabilization and cross-country synchronization of economic activity for the central bank. We characterize a possibility frontier between union-wide inflation stability and cross-country synchronization, which is traced out by varying the degree of the central bank's hawkishness towards inflation. We study the role of deficit caps, fiscal and political unions, and augmented Taylor rules as instruments to navigate the stabilization-synchronization trade-off.

WORKING PAPERS

The Regional Keynesian Cross

with A. Couturier & R. Jamilov · ***Revise & Resubmit, Review of Economic Studies***

Coverage: Speech by P. R. Lane, ECB Chief Economist (2024)

We study how regional heterogeneity shapes the aggregate transmission of monetary policy and its distributional implications across space. We build a multi-region Heterogeneous-Agent New Keynesian model with 3,140 U.S. counties and cross-county differences in (i) intertemporal Marginal Propensities to Consume (MPCs) and (ii) non-tradable employment shares. We analytically characterize the nationwide consumption response to monetary policy in terms of the joint distribution of (i) and (ii). Using U.S. and Italian micro-data, we construct novel empirical measures of regional MPCs to validate our theory. Quantitatively, geographic heterogeneity leads to large distributional consequences of monetary policy across space and can sizably amplify its aggregate effects.

The Sentiment Channel of Fiscal Policy

with A. Couturier & J. Tozzo · *Submitted*

How does government spending stimulate the economy? We uncover a new transmission channel—the sentiment channel—by showing that a rise in government spending makes firms overoptimistic about their future demand, thereby stimulating investment and output. We assemble a novel dataset linking microdata on Italian firms' sales, sales forecasts, and public procurement contracts. Using a natural experiment that shifted public spending across municipalities, we find that an increase in government demand makes firms systematically overoptimistic about their future sales. This overoptimism is pervasive, as firms also raise their expectations about export sales. To interpret these findings, we develop a theory of expectations in which shocks to total sales make a firm overoptimistic about both its public and private sales. We embed this model of expectations in a heterogeneous-firm New Keynesian model disciplined with our causal estimates. Government spending boosts firms' optimism which prompts them to invest, crowding-in investment in general equilibrium, thereby producing a 75% increase in the government spending multiplier. The sentiment channel is state-dependent: tighter financing conditions limit firms' ability to act on improved expectations and weaken its contribution to the fiscal multiplier.

A Distributional Theory of Household Sentiment

with A. Couturier & S. Hosseini

We embed diagnostic expectations into an otherwise standard incomplete-markets model of consumption-saving with idiosyncratic income risk. In this framework, households form beliefs that overweight recent income shocks, a bias we summarize with a sufficient statistic—sentiment—that distorts perceptions of future income. We discipline our model empirically using the Italian Survey of Household Income and Wealth. Taking advantage of a continuous-time formulation, we derive a closed-form characterization of how sentiment dampens the saving motive under optimism and amplifies it under pessimism,

causing households to overreact to income shocks in their consumption-saving choices. We then show that the interaction of sentiment with borrowing constraints generates a "diagnostic poverty trap": positive shocks fuel over-consumption rather than asset accumulation, making it harder for constrained households to escape the hand-to-mouth state. This simple behavioral friction rationalizes the persistence of hand-to-mouth households observed in the data and helps match their empirical prevalence without invoking illiquid assets or preference heterogeneity.

HBANK: Monetary Policy with Heterogeneous Banks

with R. Jamilov & T. Monacelli

We revisit the bank lending channel of monetary policy transmission in a Heterogeneous-Bank New Keynesian (HBANK) model with endogenous bank default risk. Using a sufficient-statistic approach, we show that the combination of banks' heterogeneity in the marginal propensity to lend and costly insolvency amplifies the real effects of monetary policy shocks. The central bank faces a trade-off between macroeconomic and financial stability: contractionary monetary policy shrinks bank net worth, raising the aggregate probability and resource cost of default. Addressing persistent inflationary pressure comes at the price of exacerbating financial fragility. Automatic microprudential regulation—targeting only the top quartile of banks—effectively mitigates the macroeconomic-financial stabilization trade-off. We provide empirical evidence supporting the heterogeneous effects of monetary policy on bank assets and insolvency probabilities, reinforcing the necessity of incorporating bank-level heterogeneity in monetary policy design.

WORK IN PROGRESS

The Marginal Propensity to Invest: Evidence from Italian Public Debt Settlements

with A. Couturier

How much do firms invest out of an additional dollar of cash flow? We answer this question by exploiting a natural experiment in Italy: a 2013 reform that released over 57 billion to settle overdue public-sector debts with private suppliers. Because the policy accelerated payment on obligations already incurred, it injected liquidity into firms without affecting their demand. We combine administrative income-statement data with the quasi-universe of public procurement contracts; this allows us to construct a shift-share instrument based on firms' exposure to public bodies that received different amounts of funding to settle their debts. We estimate a marginal propensity to invest (MPI) of 0.5: for each additional euro of liquidity, firms increase investment by up to 50 cents. We document large heterogeneity in MPIs: the investment response is stronger for highly leveraged firms and in capital-intensive sectors. Our estimates provide direct empirical discipline for macroeconomic models with heterogeneous firms and carry implications for the design of stabilization policies that operate through firms' cashflows.

POLICY WRITINGS

The Sentiment Channel of Fiscal Policy

with A. Couturier and J. Tozzo · *VoxEU, December 2025*

SEMINARS & CONFERENCES

(excluding presented by coauthors)

Chicago Fed Rookie Conference (scheduled), 9th Behavioral Finance Group Meeting, CEPR Annual Monetary Economics and Fluctuations Symposium · PSE Macro Days · CEPR Conference on New Challenges in Monetary Economics · Barcelona Summer Forum · CESifo Area Conference on Macro with Micro Data · LSE	2026
LSE	2025
T2M Amsterdam · Prague Heterogeneous Agents Conference · EEA-ESEM · PSE Macro Days · LSE	2024
Oslo Macro Conference · Tilburg GIFT	2023

European Winter Meeting of the Econometric Society 2022

DISCUSSIONS

Bank Heterogeneity, Deposits, and the Pass-through of Interest Rates
by Oliver de Groot and Gustavo Mellior

Qatar Centre for Global Banking & Finance Annual Conference, 2024

Debt Stabilizing Properties of GDP-Linked Securities: A Macro-Finance Perspective
by Sarah Mouabbi, Jean-Paul Renne and Jean-Guillaume Sahuc

Headwinds: Upcoming Macroeconomic Risks, 2022

PROFESSIONAL ACTIVITIES

Scientific committee for the EAYE annual meeting 2026

REFEREE SERVICE

American Economic Review, Economica, Journal of Monetary Economics, Quantitative Economics, Review of Economic Studies

TEACHING

London School of Economics

Class teacher for EC442, Macroeconomics for MRes Students (PhD) 2023–2026

Class teacher for EC2B1, Macroeconomics II (Undergraduate) 2022–2023

Bocconi University

Teaching assistant for 30459, Macroeconomics and Economic Policy (Undergraduate) 2020–2021

AWARDS & GRANTS

Sir John Hicks Prize for outstanding performance in MRes Economics 2022

STICERD Hayek Programme PhD Grant, 5,600£ (with A. Couturier) 2022

Bank of Italy *Bonaldo Stringher* Scholarship 2022–2023

LSE Departmental Scholarship 2021–2026

Bocconi Merit Award 2018–2020

Telecom Italia Scholar 2018–2020

OTHER EXPERIENCE

Bocconi University 2020–2021

Research assistant to Prof. Tommaso Monacelli

CITIZENSHIP

Italian

LANGUAGES

Italian (native) · English (fluent) · French (good)